EUR/USD Trend Pullback Strategy (Plain English)

Purpose

This strategy is designed only for testing a trading journal or AI trading application. It is intentionally simple and written in plain English.

Market

Trade only the EUR/USD currency pair.

Timeframes

Use the 1-hour chart to find the trend. Use the 15-minute chart to enter trades.

Indicators

1. 50 Exponential Moving Average (EMA)
2. 200 Exponential Moving Average (EMA)
3. Relative Strength Index (RSI) with period 14

Buy Rules

- The 50 EMA must be above the 200 EMA on the 1-hour chart.
- Wait for price to pull back toward the 50 EMA on the 15-minute chart.
- RSI should fall below 40 during the pullback and then move back above 40.
- Enter a buy trade when a bullish candle closes after the pullback.

Sell Rules

- The 50 EMA must be below the 200 EMA on the 1-hour chart.
- Wait for price to pull back toward the 50 EMA on the 15-minute chart.
- RSI should rise above 60 during the pullback and then move back below 60.
- Enter a sell trade when a bearish candle closes after the pullback.

Risk Management

- Risk only 1% of the account on each trade.
- Stop-loss: 20 pips from entry or beyond the recent swing high/low, whichever is farther.
- Take-profit: 40 pips (2:1 reward-to-risk ratio).
- Move the stop-loss to break-even after the trade reaches 20 pips in profit.

Trading Session

Only open new trades during the London and New York sessions. Avoid trading during major economic news releases.

Exit Rules

- Close the trade at take-profit or stop-loss.
- If an opposite EMA trend forms before the target is reached, close the trade early.

Data for Backtesting

Record the entry time, exit time, entry price, exit price, direction (buy/sell), stop-loss, take-profit, profit or loss in pips, and the reason for entering the trade.

Expected Behaviour

The strategy should produce both winning and losing trades. It is intended to test whether your application correctly follows rules, records trades, and generates AI feedback.